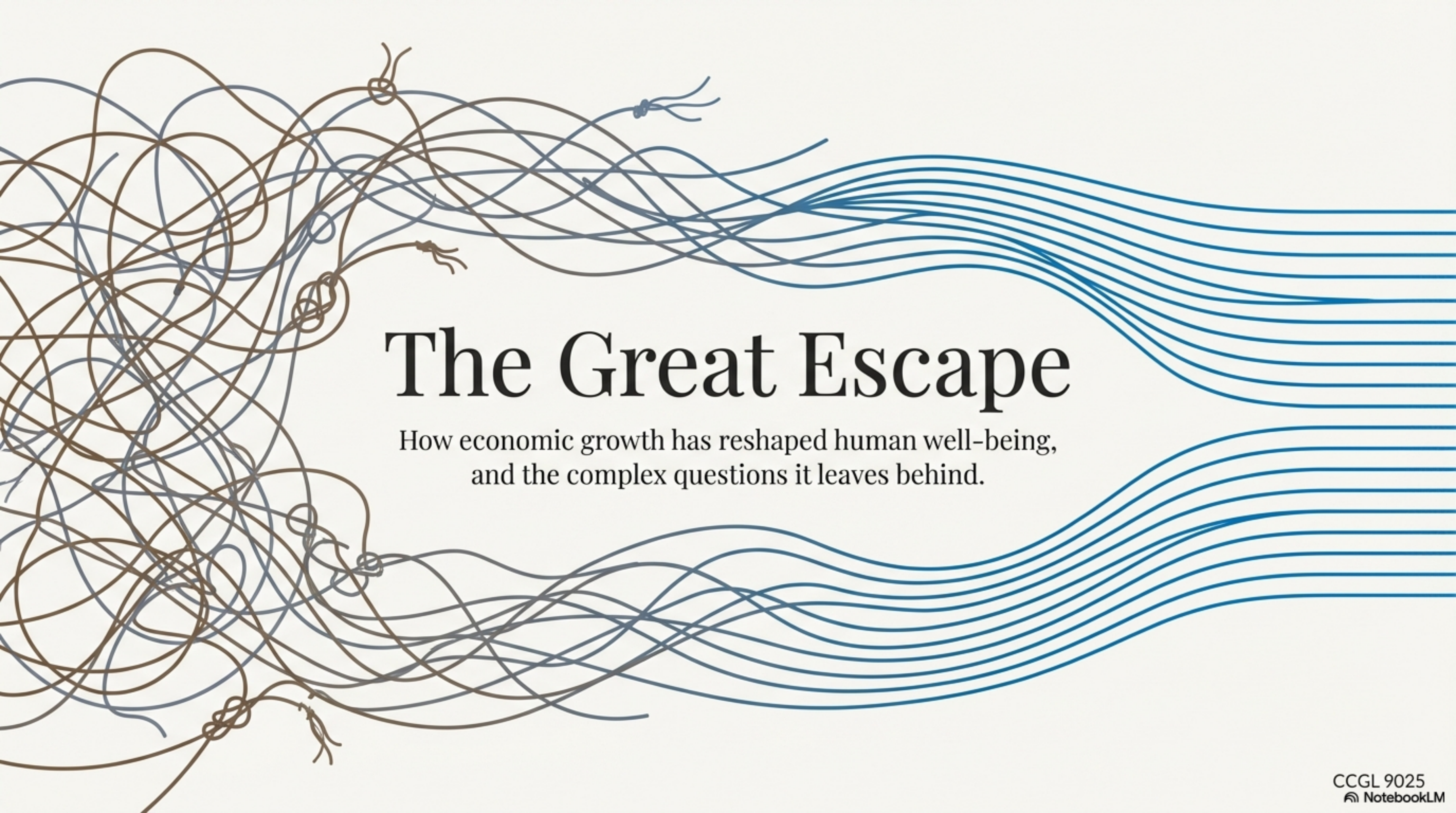


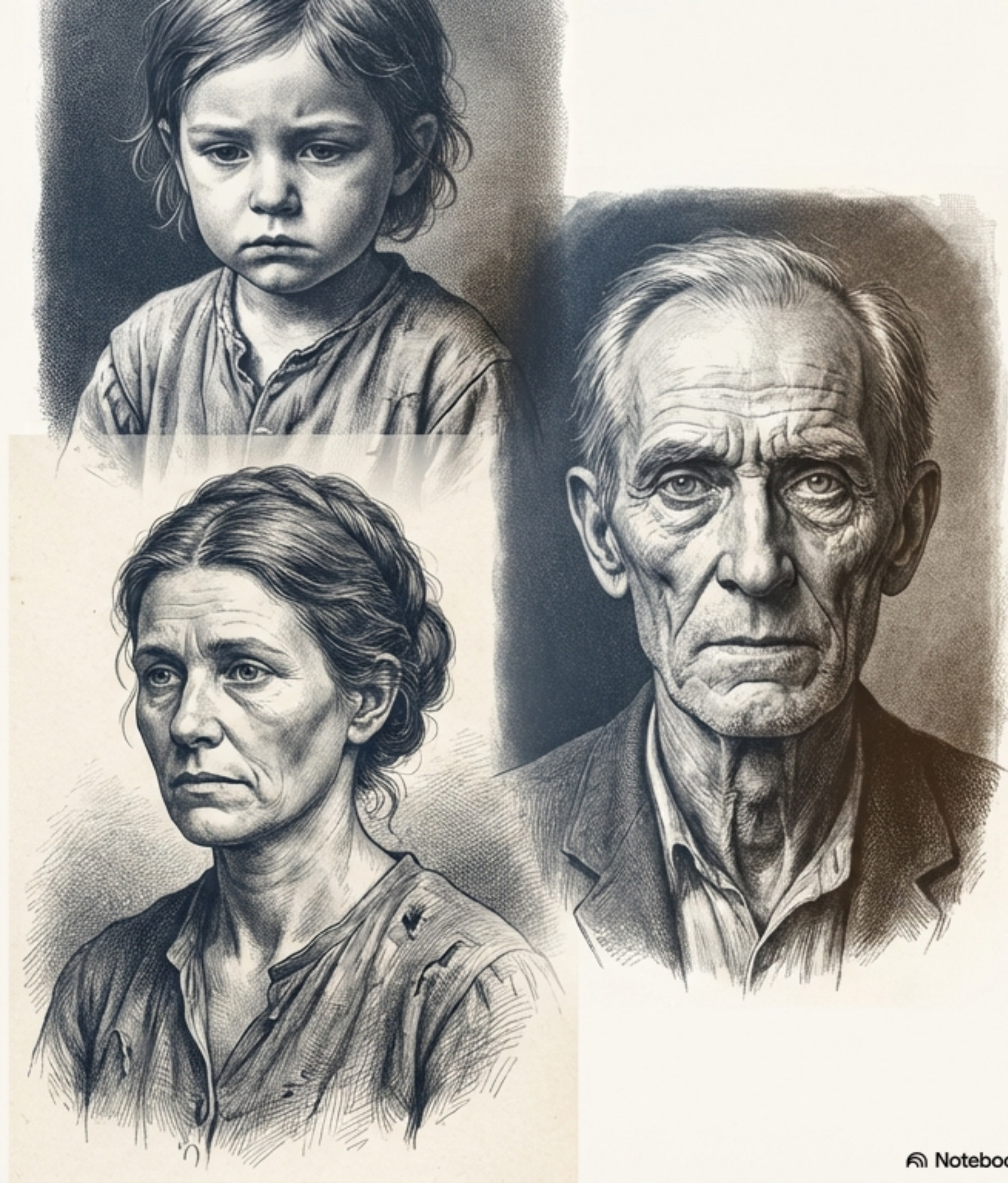


The Great Escape

How economic growth has reshaped human well-being,
and the complex questions it leaves behind.

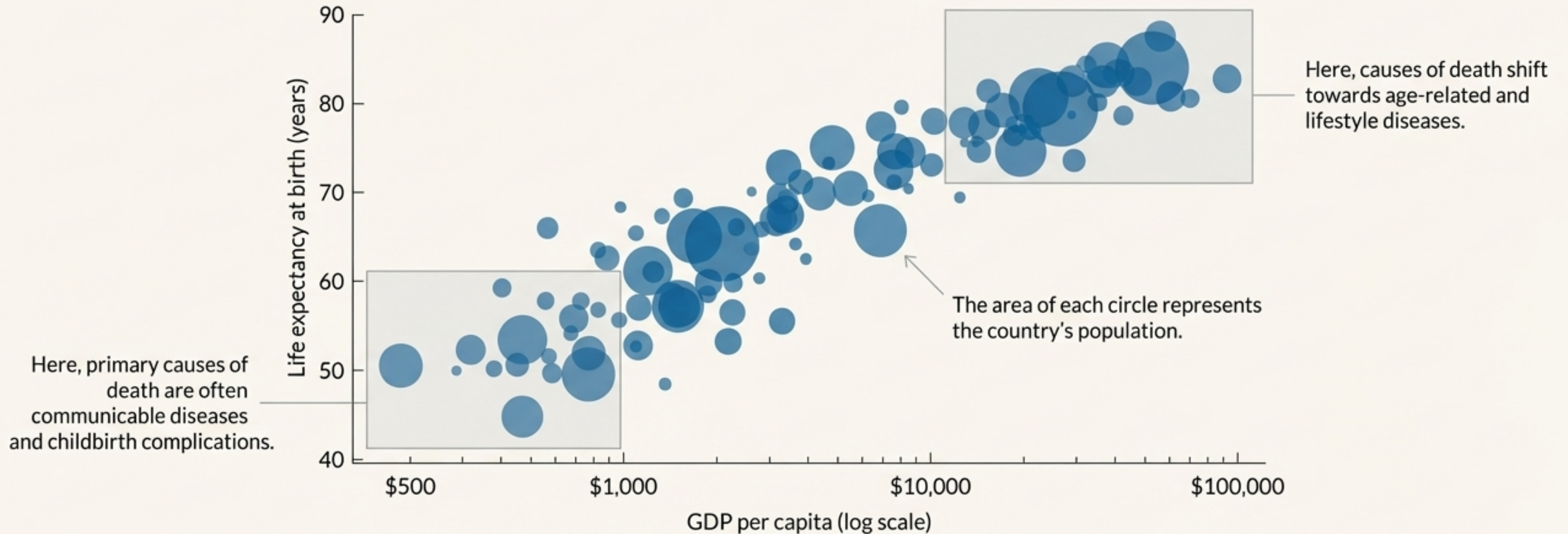
A Portrait of the Mortal

Before the 'great escape,' life for most people was short and precarious. This was the reality for generations. To understand our world today, we must first look at the world we left behind.



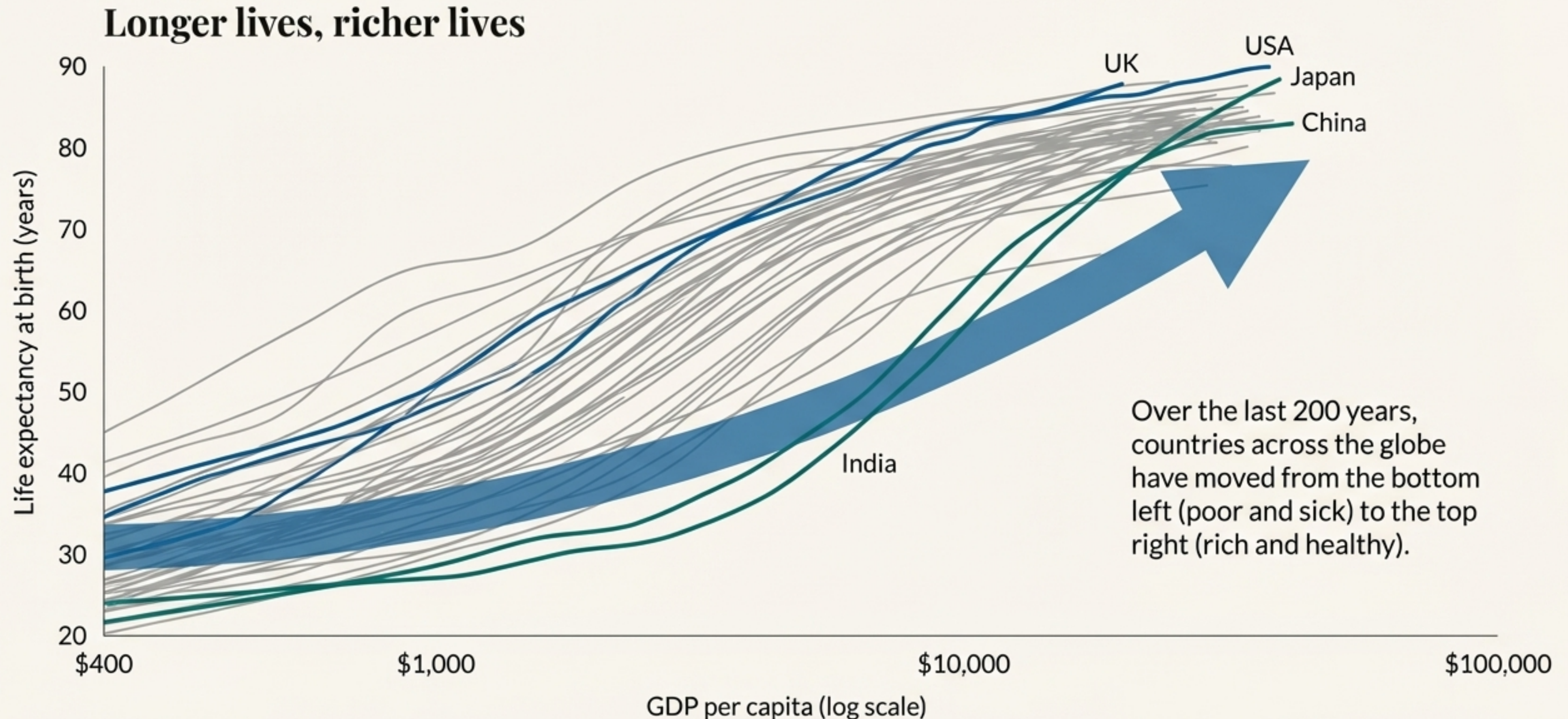
The undeniable link between a country's wealth and its people's health.

Life Expectancy and GDP per Capita

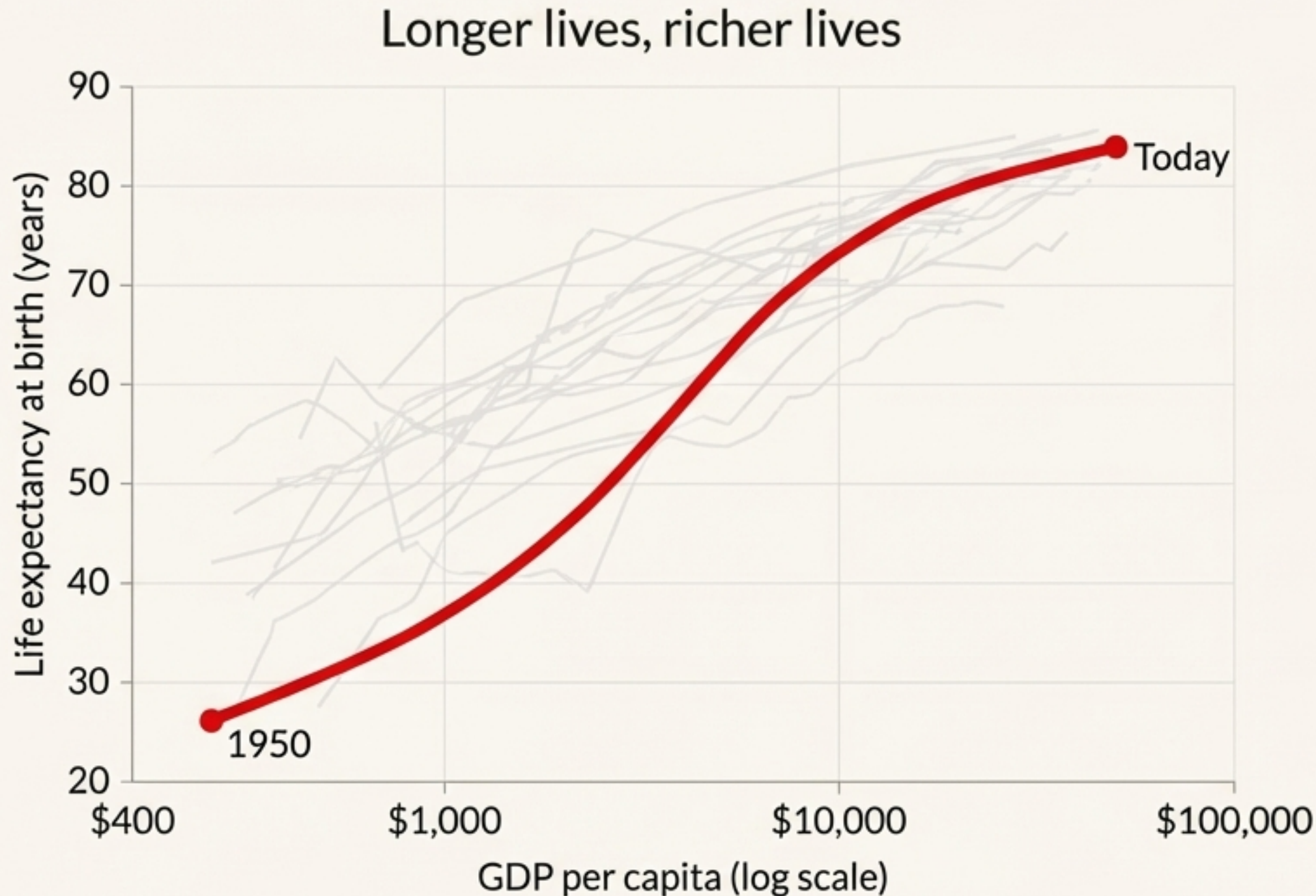


A clear **positive correlation exists**: as a country's GDP per capita increases, so does the life expectancy of its citizens.

We are living in a time of unprecedented progress.



How does this escape happen in practice? Look at China.



Why has China moved up so dramatically?

Over the past few decades, rapid economic growth has lifted hundreds of millions of people out of poverty.

This economic transformation is directly reflected in a dramatic increase in average life expectancy, illustrating the powerful effect of growth on fundamental human well-being.

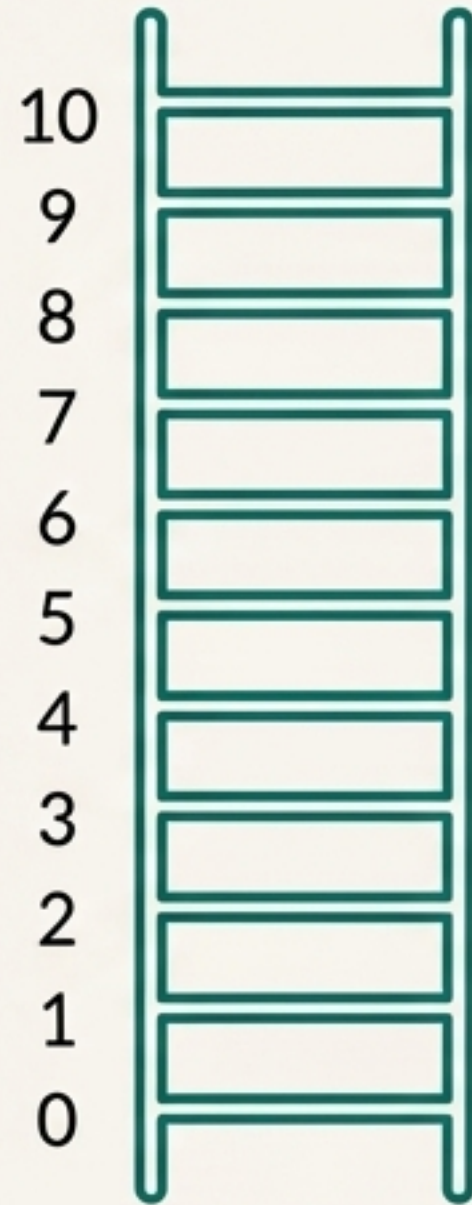
We're richer and we live longer. But are we happier?



The escape from poverty and early death is a monumental achievement. But once basic needs are met, does continued economic growth lead to greater life satisfaction?

How do we measure happiness?

The Gallup Cantril Scale



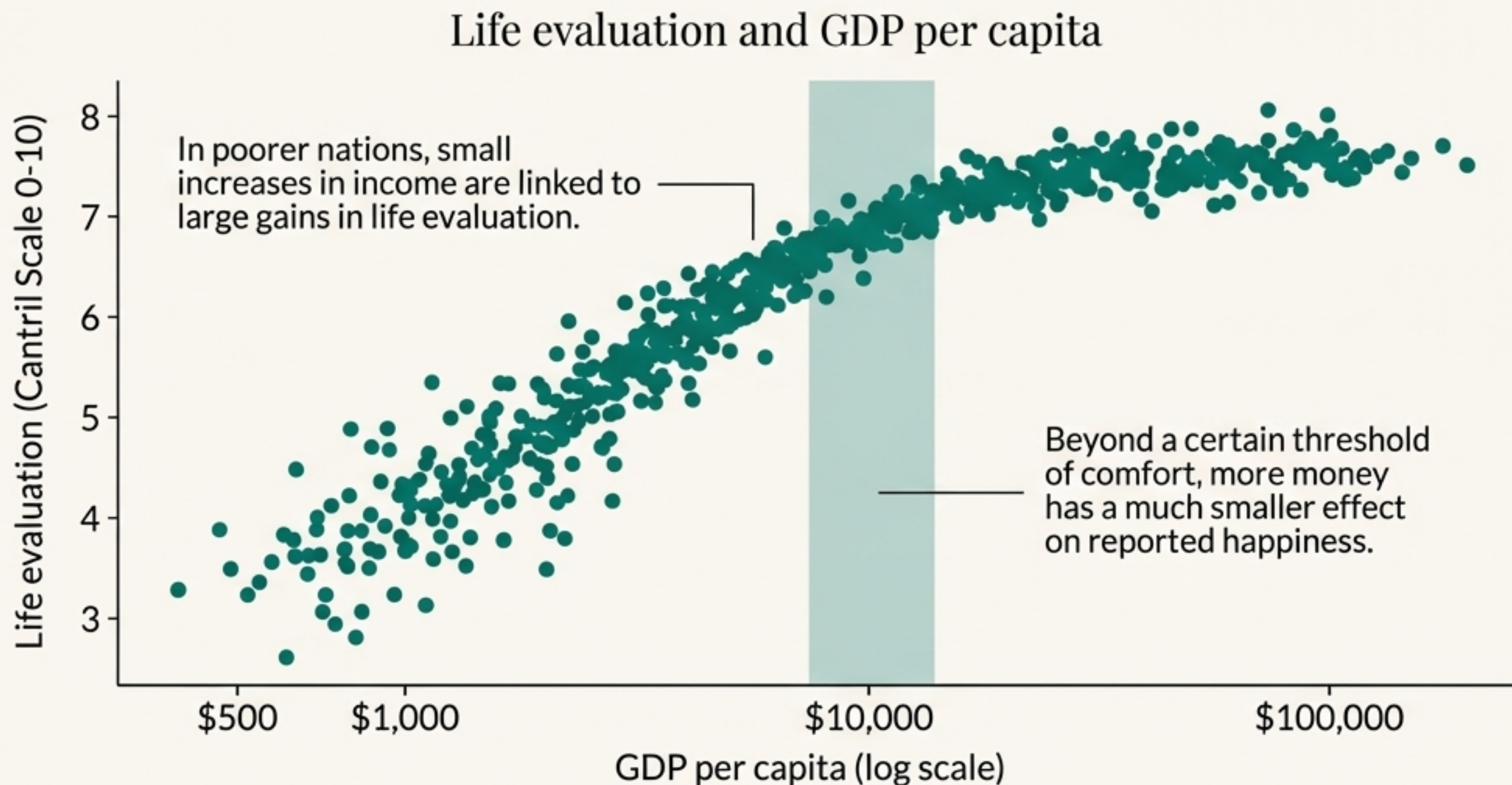
The Cantril Scale asks people to imagine a ladder representing their life.

Top (Step 10): The best possible life for you.

Bottom (Step 0): The worst possible life for you.

People then rate their own current life on this 0-to-10 scale. This provides a standardized measure of 'life evaluation' across different countries and cultures.

More money improves lives, but only up to a point.



Once GDP per capita reaches around \$10,000 a year, does more money do nothing to improve people's lives?

What the Evidence Tells Us

Growth is **Crucial**

- Escaping from poverty is fundamentally important for human well-being.
- Economic growth is a powerful engine for improving life expectancy and happiness, especially for developing nations.

Growth is Not a **Panacea**

- The relationship between money and happiness has diminishing returns.
- Growth alone does not solve every problem.

Beyond Growth: The Challenges of the New Landscape

A rising GDP can mask underlying issues. A complete picture of well-being must also consider:



Distribution and Inequality: How is the wealth shared? A high average can hide extreme disparities.



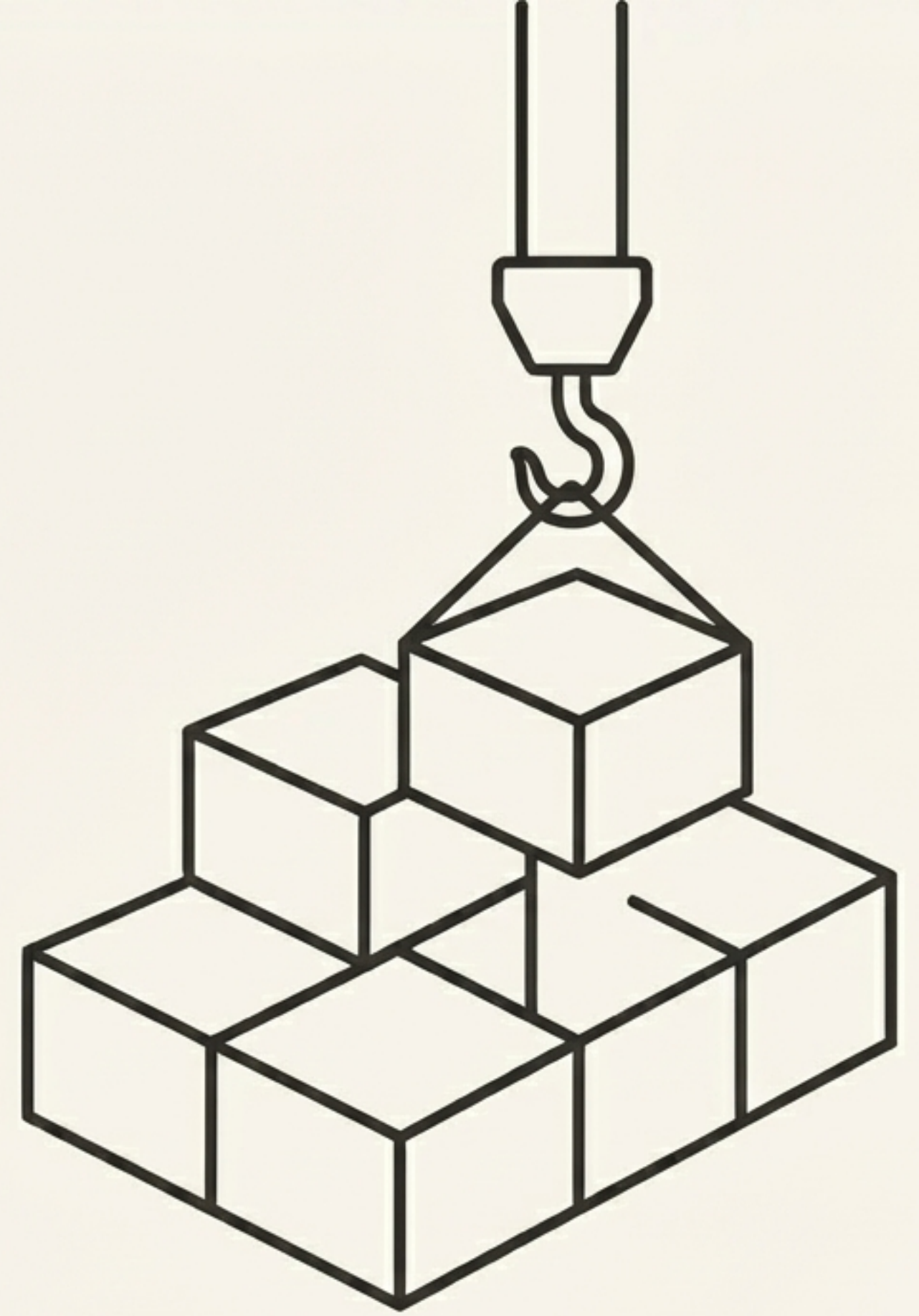
Externalities: What are the hidden costs of growth, such as pollution and environmental degradation?



Other Factors: What about community, social trust, and personal freedom?

Our Journey Continues: Building the Foundation

We've seen the power and the limitations of economic growth. To analyze these ideas more deeply, we first need to master the primary tool used to measure it: GDP.



Your Preparation for Our Next Session

A Flipped Classroom Approach

Before our next class, please engage with the following materials. This is a very important foundation for understanding the rest of the course.

1. ☐ **Watch:** 3 short videos explaining GDP.
2. ☐ **Complete:** A few self-paced multiple-choice questions to check your understanding.

These materials will give you the essential vocabulary and concepts we will use to tackle even more complex questions about global development.